

goals—estimated at ₹30–32 lakh crore by 2030—demands an enhanced focus on mobilising capital.

“Scaling up financing through green bonds, domestic institutional investments, and international funding will be essential going forward. Empowering NBFCs such as IREDA, PFC, and REC to play a more significant role in financing renewable projects and encouraging banks to increase lending to the sector will help bridge the funding gap,” the report says.

Master also flags that as India embarks on a large-scale capacity buildout, a few areas will need strong focus to ensure sustained growth in investments. “Long-term policy visibility and certainty is important to ensure adequate participation from developers, financial investors and lenders. Appropriate policy interventions to efficiently aggregate land parcels as well as streamline contractual and tendering processes of transmission projects would be essential,” he says.

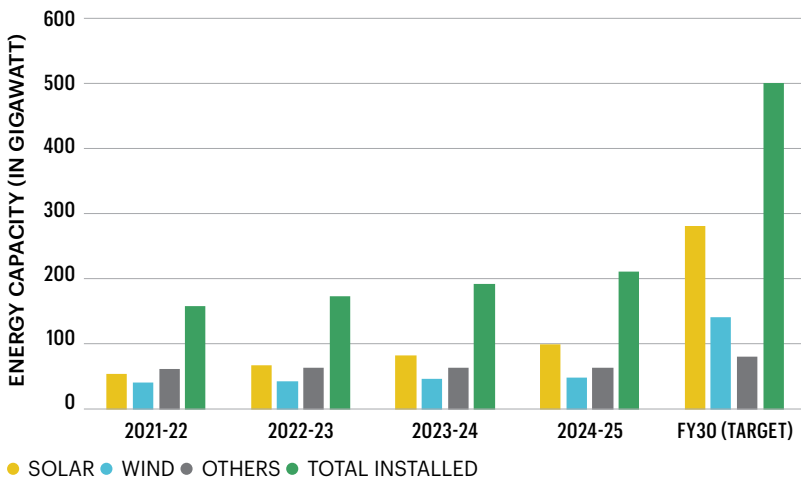
Another important task would be ensuring technology and economic competitiveness of the equipment manufacturing ecosystem through rationalisation of tax and duty structures, budgetary allocation, and tax exemptions with partial recovery mechanisms for R&D activities.

“As we expect cumulative investments of ₹14–15 lakh crore between FY25 and FY30 in building capacities, conventional sources of finance are expected to be inadequate. Diversifying the available pools of capital would go a long way to support project development. For instance, deepening of bond markets would nurture fixed and long-term finance,” adds Master.

Some of the reforms that the industry players recommend for expediting scaling up of renewable

EYES ON TARGET

- India needs to install 60 GW non-fossil fuel energy capacity annually
- Solar and wind capacity needs to be tripled from current levels

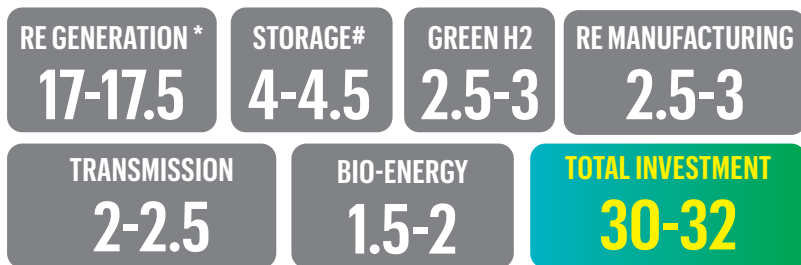


SOURCE CENTRAL ELECTRICITY AUTHORITY

INVESTMENT REQUIREMENT

- Solar generation will need the most funds
- Energy storage will absorb approximately 14% of the total funding

BREAK UP OF INVESTMENT



NOTE FIGURES IN ₹ CRORE; RE IS RENEWABLE ENERGY; *INCLUDES SOLAR, WIND, HYDRO #BATTERY ENERGY STORAGE SYSTEM AND PUMPED STORAGE PROJECTS

SOURCE FICCI

capacity are availability of government land, ramping up transmission capacity in large producing states in the next five years, and cheaper rate of financing by reducing tariffs to boost adoption of renewables.

The next phase of India's green journey will depend on addressing

infrastructure bottlenecks and securing affordable financing to ensure India remains on track to meet its ambitious targets. What remains an open question is if India can lead the world in this transition. **BT**

@richajourno